

ECO 108—INTRODUCTION TO ECONOMICS
Summer 2015

Exam 1

June 10, 2015

Name (Print): _____

SBU ID: _____

Time Limit: 1 hour and 30 minutes

Instructions: This exam contains 13 pages (not including this cover page). Check to see if any pages are missing. Enter all requested information on the top of this page and on the answer sheet provided. The exam has 42 multiple choice questions. Each question has a value of *1 point*. Questions 41 & 42 are bonus problems. The exam is graded over 40 points. You must fill your answers in the answer sheet. Good luck!

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Time: _____

Instructor: Alejandro Melo Ponce
Course: ECO108-Summer 2015
Book: Miller: Economics Today 18e

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1. Economics is
- ☐ A. the study of how limited resources are allocated to satisfy unlimited wants.
 - ☐ B. the study of how unlimited resources are allocated to satisfy limited wants.
 - ☐ C. the study of how the stock market works.
 - ☐ D. the study of money.
-
2. Until 2008, the people of the fictitious nation of Dor relied mainly on private car companies to determine how many automobiles to produce. After 2008, the people of Dor have been relying on the Dor government to determine how many automobiles to produce. This represents a shift in the economic system of Dor from
- ☐ A. Central Planning to Command and Control.
 - ☐ B. Central Planning to Market System.
 - ☐ C. Command and Control to Price System.
 - ☐ D. Market System to Central Planning.
-
3. The three fundamental economic questions that a nation addresses in order to allocate society's scarce resources include all of the following *except*:
- ☐ A. What and how much will be produced?
 - ☐ B. Why will the items be produced?
 - ☐ C. How will the items be produced?
 - ☐ D. For whom will the items be produced?
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4. One of your classmates, Sally, is a hardworking student, serious about her classes, and conscientious about her grades. Sally is also involved, however, in volunteer activities and an extracurricular sport. Is Sally displaying **rational** behavior?
- ☐ A. Yes, she is using her time allocated among school, studying, sports and volunteer work in a manner she deems best.
 - ☐ B. Yes, she is devoting some of her time to the benefit and well-being of others even if her grades suffer.
 - ☐ C. No, leisure time is preferred — she should devote all of her time to sports.
 - ☐ D. No, if she is serious about grades, all of her time should be spent studying.
-
5. Which of the following is a true statement about self-interest as used in the study of economics?
- ☐ A. Any action can be based on self-interest if the person has some reason for the action.
 - ☐ B. Self-interest implies that people are selfish.
 - ☐ C. Self-interest means that people will never perform an act of charity.
 - ☐ D. Self-interest means that people want greater levels of wealth more than anything else.
-
6. Which of the following is *not* true about economic models?
- ☐ A. Models are used to explain and predict human behavior.
 - ☐ B. In comparing two models, the simpler one is better, other things equal.
 - ☐ C. A model is a simplified representation of the real world.
 - ☐ D. A good model must be realistic.
-
7. An economic model
- ☐ A. should capture only the essential relationships that are sufficient to analyze a particular problem or answer a particular question.
 - ☐ B. must capture all relationships between all variables in order to accurately analyze a particular problem or answer a particular question.
 - ☐ C. must represent every detail of the real world in order to be of value.
 - ☐ D. can never be completely realistic, and therefore is of little value for analytic purposes.
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8. Which one of the following is a positive statement?
- ☐ A. The Fed has cut the key interest rate several times this year.
 - ☐ B. A tax cut should be better for stimulating the economy than a cut in the interest rate.
 - ☐ C. All these interest rate cuts should have helped the economy.
 - ☐ D. The Fed should not have cut the interest rate so frequently.
-
9. Any activity that results in the conversion of resources into products that can be used in consumption is called
- ☐ A. substitution.
 - ☐ B. derived demand.
 - ☐ C. transformation.
 - ☐ D. production.
-
10. A production possibilities curve represents
- ☐ A. all possible combinations of output that could be produced at zero opportunity cost.
 - ☐ B. all possible combinations of output that could be produced assuming fixed productive resources and their efficient use.
 - ☐ C. all possible combinations of output that could be produced assuming changing technology.
 - ☐ D. the notion that greater quantities of all goods may be produced.
-

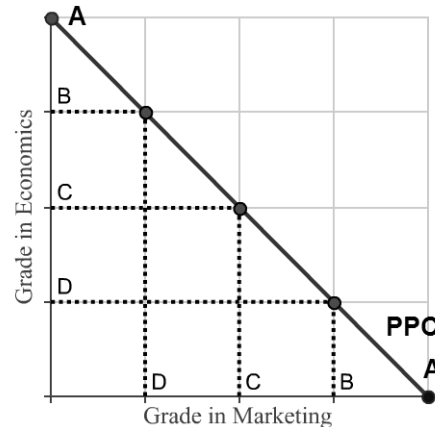
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11. The graph shows a production possibilities curve for a student who *currently* spends 8 hours a week studying. How could the student get a B in both classes?

- ☐ A. The student cannot get a B in both classes.
- ☐ B. The student spends more time studying economics than marketing.
- ☐ C. The student could spend more time studying marketing than economics.
- ☐ D. The student could study more than 8 hours a week.



12. All of the following are assumptions underlying the production possibilities curve *except*

- ☐ A. technology is assumed to be continuously improving.
- ☐ B. the resource inputs are fixed over the time period.
- ☐ C. production takes place over a specific time period.
- ☐ D. resources are fully employed.

13. During the time period assumed by a production possibilities curve, it is _____ to be at a point outside the curve and _____ to be at a point beneath the curve.

- ☐ A. impossible; possible
- ☐ B. impossible; impossible
- ☐ C. possible; possible
- ☐ D. possible; impossible

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14. The production possibilities curve will shift outward (upward, and or, to the right) when
- ☐ A. corporate profits increase.
 - ☐ B. there is a reduction in labor.
 - ☐ C. resources are used more efficiently.
 - ☐ D. economic growth occurs.
-
15. Whenever a society forgoes current consumption in order to invest in capital goods,
- ☐ A. the more the society can consume in the future.
 - ☐ B. the easier it will be for the society to consume less in the future because people will become accustomed to less.
 - ☐ C. the less capital the society can produce in the future.
 - ☐ D. the less society can consume next year.
-
16. Which of the following statements is true?
- ☐ A. Comparative advantage applies to nations but not to people.
 - ☐ B. Specialization affects international trade but not interstate trade.
 - ☐ C. Everyone can benefit when people specialize where they have a comparative advantage and then trade with each other.
 - ☐ D. Specialization affects interstate trade but not international trade.
-
17. Other things remaining equal, the law of demand says that higher prices will lead to a
- ☐ A. larger quantity demanded and lower prices to a larger quantity demanded.
 - ☐ B. larger quantity demanded and lower prices to a smaller quantity demanded.
 - ☐ C. smaller quantity demanded and lower prices to a smaller quantity demanded.
 - ☐ D. smaller quantity demanded and lower prices to a larger quantity demanded.
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18. Which of the following would cause an increase in the demand for fish?
- ☐ A. A decrease in consumer incomes (fish is a normal good).
 - ☐ B. A decrease in the price of fish.
 - ☐ C. An increase in the price of chicken, a substitute for fish.
 - ☐ D. An increase in the number of firms in the market.
-
19. Identify which of the following would generate an increase in the market demand for tablet devices, which are a normal good.
- I.** A decrease in the incomes of consumers of tablet devices.
 - II.** An increase in the price of ultrathin computers, which are substitutes.
 - III.** An increase in the price of online apps, which are complements.
 - IV.** An increase in the number of consumers in the market for tablet devices.
- ☐ A. Only I.
 - ☐ B. Both II and III.
 - ☐ C. Both II and IV.
 - ☐ D. Only II.
-
20. According to the law of supply, the quantity supplied of any commodity is _____ related to its price, other things being equal.
- ☐ A. negatively
 - ☐ B. directly
 - ☐ C. proportionately
 - ☐ D. inversely
-
21. Which of the following will cause an outward (rightward) shift in supply?
- ☐ A. A decline in labor productivity.
 - ☐ B. The cost of an input increases.
 - ☐ C. A technological improvement.
 - ☐ D. A reduction in consumer incomes.
-

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22. All of the following will decrease the supply of train trips *except*
- ☐ A. a technological change that makes trains safer and more fuel-efficient.
 - ☐ B. a rise in the price of train fuel.
 - ☐ C. a reduction in the number of train companies offering service.
 - ☐ D. an increase in the salaries of conductors.
-
23. At the market equilibrium price,
- ☐ A. quantity and price are equal.
 - ☐ B. quantity demanded equals quantity supplied.
 - ☐ C. demand equals supply.
 - ☐ D. everyone can buy the product.
-
24. A surplus occurs when quantity supplied is _____ than quantity demanded at a price _____ the market clearing price.
- ☐ A. less; above
 - ☐ B. greater; above
 - ☐ C. less; below
 - ☐ D. greater; below
-

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25. The market for corn is initially in equilibrium. Suppose the production of biofuels, which use corn as an input, decreases, and at the same time, decreases in the price of oil cause farm production costs to fall.

Which of the following explains the effect on equilibrium price and quantity in the corn market?

- ☐ A. The price of corn will fall, but the effect on equilibrium quantity cannot be determined without more information.
- ☐ B. The price and quantity of corn will rise.
- ☐ C. The price and quantity of corn will fall.
- ☐ D. The quantity of corn will rise, but the effect on equilibrium price cannot be determined without more information.
- ☐ E. The quantity of corn will fall, but the effect on equilibrium price cannot be determined without more information.

-
26. If demand increases while supply remains unchanged, the equilibrium price of the product will _____ and the equilibrium quantity will _____.

- ☐ A. increase; decrease
- ☐ B. increase; increase
- ☐ C. decrease; increase
- ☐ D. decrease; decrease

-
27. There are simultaneous changes in the demand for and supply of global-positioning-system (GPS) devices, with the consequences being an unambiguous decrease in the market clearing price of these devices but no change in the equilibrium quantity. What changes in the demand for and supply of GPS devices could have generated these outcomes?

- ☐ A. Demand decreases and supply increases.
- ☐ B. Demand increases and supply decreases.
- ☐ C. Demand decreases and supply decreases.
- ☐ D. Demand increases and supply increases.

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28. In a market-based economy, what is the role of a system of prices?

- ☐ A. To create shortages.
 - ☐ B. To address the problem of scarcity.
 - ☐ C. To make goods and services too expensive.
 - ☐ D. To create abundance and surpluses.
-

29. What is the economic effect of price ceilings?

- ☐ A. There are no economic effects.
 - ☐ B. An effective price ceiling will lead to a shortage.
 - ☐ C. An effective price ceiling will lead to a surplus.
 - ☐ D. Resources will be allocated efficiently.
-

30. Import quotas are an example of government-imposed

- ☐ A. quantity restrictions.
 - ☐ B. price floors.
 - ☐ C. price lotteries.
 - ☐ D. price ceilings.
-

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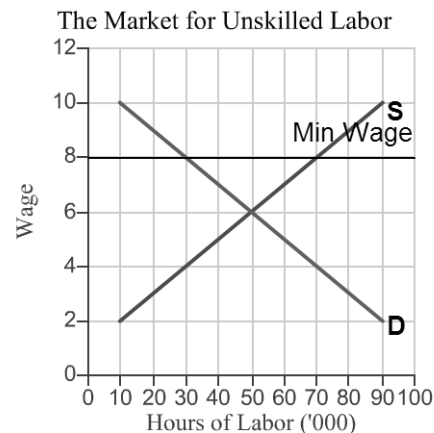
31. According to the accompanying graph, when the government imposes a price ceiling of \$25

- ☐ A. the quantity of goods that will be traded is 100.
- ☐ B. the quantity of goods that will be traded is 150.
- ☐ C. the quantity of goods that will be traded is 0.
- ☐ D. the quantity of goods that will be traded is 200.



32. The accompanying graph depicts the market for unskilled labor. With the market initially in equilibrium, let a minimum wage be set at \$8 per hour. The amount of unemployment is now

- ☐ A. 50,000 hours of labor.
- ☐ B. zero.
- ☐ C. 40,000 hours of labor.
- ☐ D. 20,000 hours of labor.



33. The concept of consumer surplus is best described by the following situation.

- ☐ A. Ron purchased a laptop last month for \$700, now it is selling for \$550.
- ☐ B. The maximum price that Jackie was willing to pay for an iphone was \$400, but she bought it for \$250 on black Friday.
- ☐ C. Jamie bought twenty video games at \$2 apiece, since these were on sale.
- ☐ D. Kevin was surprised that he could sell his economics text for \$26 on Amazon, although he was willing to accept \$20 for it.

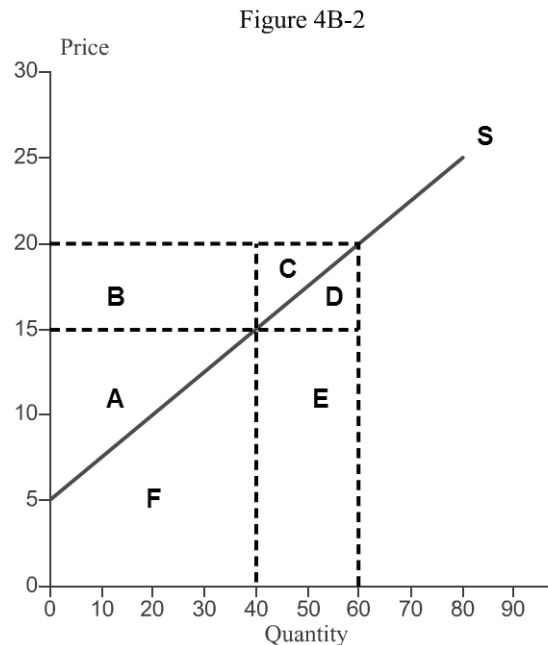
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34. Consider the figure 4B-2. If the price is \$20, find the area that represents producer surplus.

- ☐ A. A + B.
☐ B. C + D.
☐ C. A + B + C.
☐ D. F + E + D.



35. Gains from trade are

- ☐ A. equal to the difference between consumer surplus and producer surplus.
☐ B. equal to the product of consumer surplus and producer surplus.
☐ C. equal to the sum of consumer surplus and producer surplus.
☐ D. not realized by consumers and producers when they engage in voluntary exchange.

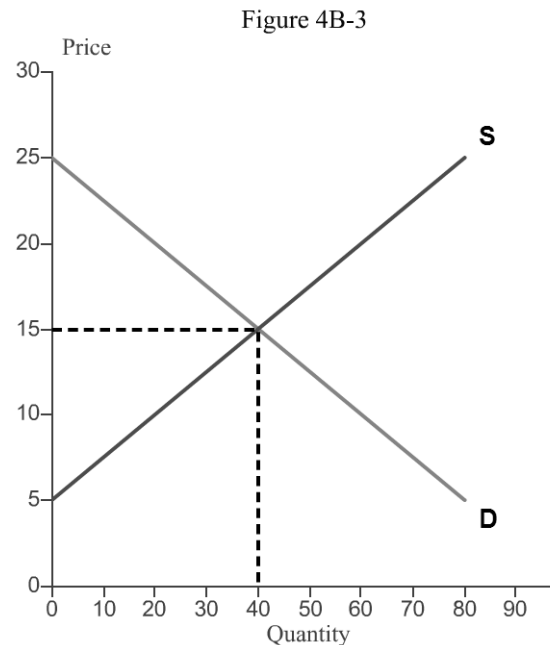
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36. Consider Figure 4B-3, that represents the market for long-stemmed roses. If the market clearing price is \$15, what is the total value of gains from trade?

- ☐ A. \$400.
☐ B. \$800.
☐ C. \$200.
☐ D. \$600.



37. What does the price elasticity of demand measure?

- ☐ A. The change in quantity demanded when there is a 1% change in income.
☐ B. The amount that the demand curve shifts when there is a change in the price of the good.
☐ C. How long it takes consumers to react when there is a change in the price of a good.
☐ D. The responsiveness of quantity demanded to a change in the price of a good.

38. We observe a 15 percent decrease in units purchased and a(n) 10 percent increase in price. The price elasticity of demand in terms of absolute values is

- ☐ A. 0.7
☐ B. - 1.5
☐ C. 1.5
☐ D. 1.0

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39. If one wanted to know the impact of the falling price of using the Internet on the demand for library services, one would need to compute the
- ☐ A. cross price elasticity of demand for library services and price of using the Internet.
 - ☐ B. price elasticity of demand for library services.
 - ☐ C. income elasticity of demand for the Internet.
 - ☐ D. price elasticity of supply for the Internet.
-
40. The long-run elasticity of supply in most industries is _____ than the short-run elasticity because in the long run, _____.
- ☐ A. less elastic; consumer demand will increase, increasing industry profits
 - ☐ B. more elastic; consumer demand will increase, increasing industry profits
 - ☐ C. less elastic; resources and firms can enter the industry
 - ☐ D. more elastic; resources and firms can enter the industry
-
41. If the demand and supply functions for widgets are given by $Q = \frac{200}{3} - \frac{P}{3}$ and $Q = \frac{P}{2} - 20$, respectively, then imposing a \$25 per unit tax on widgets to buyers will:
- ☐ A. Decrease equilibrium quantity by 27 and increase the price that buyers pay by \$15
 - ☐ B. Decrease equilibrium quantity by 5 and increase the price that buyers pay by \$15
 - ☐ C. Decrease equilibrium quantity by 5 and increase the price that buyers pay by \$25
 - ☐ D. Decrease equilibrium quantity by 27 and leave unchanged the price that buyers pay.
-
42. If the absolute value of the price elasticity of demand in Willy's island for gadgets is much greater than their price elasticity of supply, we would expect that the economic burden of a tax on gadgets to:
- ☐ A. Be borne mostly by buyers.
 - ☐ B. Depend on whether it is collected from sellers or buyers.
 - ☐ C. Be borne equally by sellers and buyers.
 - ☐ D. Be borne mostly by sellers.
-